

Study Notes â Accounting for Partnership (CUET Accountancy)

Topic: Capital Accounts

Partners maintain capital accounts. Fixed capital means capital stays constant; current accounts record interest, salary, and share of profit.

Topic: Profit and Loss Appropriation

Net profit is appropriated: interest on capital, partner salary, then residual profit shared in the agreed ratio.

Topic: Admission of a New Partner

A new partner may bring capital and goodwill. Revaluation of assets and liabilities is recorded before admission.